

Artist Subodh Gupta
SAFFRONART SUMMER
AUCTION 2008

"Untitled" Oil on canvas

Estimate
Rs 80,00,000 - 1,00,00,000

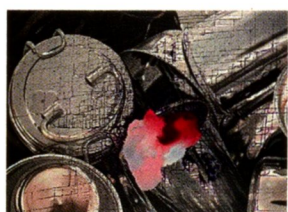


Rs. 5,71,00,000
June 2008

Artist Subodh Gupta
SAFFRONART SPRING
AUCTION 2009

"Untitled" Oil on Canvas.

Estimate
Rs 90,00,000 - 1,20,00,000



Rs. 79,35,000
March 2009

F.N. Souza's 'Birth' which sold for \$2.5 million at Christie's London in June 2008—the most expensive Indian painting to be sold at an auction—or the 99-painting deal M.F. Husain signed with the royal family of Qatar. Galleries raking in profits of 15-20 per cent till last year are now down to 5 per cent. Thanks to the 'recalibration' of prices, today one of Husain's works, which cost Rs 3 crore last year, is available for Rs 50 lakh. "Prices are down to a level where people, who are really the foundation of the art world, want to engage with it again," says Ashish Balram Nagpal, promoter of a Mumbai-based gallery by the same name.

As distress selling makes an appearance in the market, works are coming from collectors hit by the global financial crisis. What has hit the market harder is that the Indian diaspora, a large buyer of Indian art, has started to cool off. At ARCO, one of Europe's largest contemporary art fairs, it was mostly the smaller-value works that eventually sold.

Since March 2008, average auction prices have fallen 31.5 per cent from \$79,418 to \$54,385 for the modern Indian art segment and 72.7 per cent for the contemporary segment, while average auction prices are down from \$48,733 in March 2008 to \$13,827 in March 2009, according to ArtTactic, an art

Top 5 artists in 2007 based on painting sales

Artist	Estimate Value (All figures in USD)	Selling Price
TYEB MEHTA	800,000–1,000,000	1,160,000
VASUDEO S. GAITONDE	500,000–700,000	779,200
RAMESHWAR BROOTA	350,000–450,000	779,200
FRANCIS NEWTON SOUZA	500,000–700,000	712,000
SYED HAIDER RAZA	250,000–350,000	504,000

Top 5 artists in 2009 based on painting sales

Artist	Estimate Value (All figures in USD)	Selling Price
VASUDEO S. GAITONDE	300,000–500,000	482,500
MAQBOOL FIDA HUSAIN	150,000–200,000	374,500
FRANCIS NEWTON SOUZA	100,000–200,000	302,500
AKBAR PADAMSEE	200,000–300,000	242,500
N. S. HARSHA	260,420–312,500	201,250

Source: ArtTactic

Selling price includes buyer's premium

market tracker. Even the March New York auctions for Indian modern and contemporary art by Christie's and Sotheby's show the impact of the slowdown. Despite smaller sales compared to last year (49 per cent lower in terms of value)—the sale (without fees) came in 42 per cent below the lower estimate.

Art funds are feeling the pinch too. Approximately Rs 200 crore worth of inventory was due to be liquidated by the end of the year between funds like Osian's, Yatra, Crayon and Kotak. Yet looking at the market sentiment, Yatra, and Kotak have decided to postpone their exit to 2010, while Crayon is still deciding. "What we're really fighting today is peo-

ple's perception of disposable income," says Praveen Gandhi, director and trustee of Yatra, which has a fund size of Rs 11 crore. All eyes are now on Neville Tuli, chief adviser, The Osian's Art Fund, who is to liquidate his art fund in July this year.

A correction was anyway overdue. An Indian Art Market Confidence Indicator by ArtTactic in October last year, dropped 23 per cent from May 2008, a further deterioration from the 54 per cent decline between October 2007 and May 2008. "The 12-month bull market in Indian contemporary art could be about to cool down, as market speculation remains the single biggest threat," the survey had predicted. In light of the downturn, the market finally started to question the boom. "Prices were at a level where, like in any asset class, they were not sustainable", says Anders Petterson, managing director of ArtTactic.

“Contemporary art was being bought for investment reasons, but with collectors looking for aesthetically strong works now, it is only top quality that is fetching top prices.”

ROSHINI VADEHRA, director, Vadehra Art Gallery

